impact us. You then need to learn how to minimise the effects of each kind of bias. Mitigating your biases proves beneficial in the long run.

3. BAD DATA

When making financial decisions, it is necessary to have sufficient and reliable data. For instance, from the above example, one may view the bank FD rate offered by two banks at 6.5 and 6 per cent to zero down on the one that pays a higher return. One may also stop looking beyond the FD rate and not realise that the tenure



of the FD could be higher with the option offering a higher rate. This behaviour is akin to viewing data to suit one's convenience and not based on evaluating the data.

Having reliable data is very important in making good decisions; interpreting the data in your life is equally necessary. Bad decisions are often made due to lack of right data points. To avoid making such bad decisions, you need to learn what data is trustworthy and how to interpret it.

4. IGNORING SIDE-EFFECTS

For every decision that we make, there are some consequences—negative and positive. We are often unable to factor the long-term consequences of short-term decisions. In the short term, it is a wise move to shift money from a savings account to a fixed deposit that earns a higher interest for peace of mind. But, the side-effect of keeping money



too long in a fixed deposit takes away the opportunity for it to earn better returns when invested in some other instrument.

The risk-return trade-off in financial instruments should be evaluated to your specific needs and circumstances. For instance, if you do not have sufficient funds for your children's education, instead of holding off on their future, you would do better to take an education loan. The side-effect of a disruption in your children's education has greater financial impact on not just your life, but also theirs.

5. INCORRECT BELIEFS

One comes across people who swear their experience has made them follow certain habits. Then there are those who stress about their religion or science on which they base their decisions. Ideally, the value of our beliefs should be determined by how effective they are at helping us make good decisions. So, if your experience tells you to engage with a financial advisor to help you take personal finance decisions, it is a good belief. However, many of our good beliefs could be 'accidental' and not based on objective reality.

There are many youngsters who are quick to adapt to changing technology and use smart gadgets to make their lives efficient. Yet, when it comes to financial decisions, their beliefs often follow what their elders say they should do. So, despite the exposure and awareness, they are still stuck with archaic ways of saving and investing. There are people who have lived their whole lives believing things that were never challenged by



anyone else. For instance, there is nothing wrong in investing in gold—but even with the advent of financial instruments that invest in gold—over holding physical gold—they still go with the latter.

People often try to deny reality rather than update their beliefs to mirror it. To avoid belief-based poor decision-making, you should regularly question yourself to see if they are consistent and works favourably for you.

6. EGO

Our character or personality is a way to describe our ego. It is what we are and it can hurt decision-making and could also destroy wealth. Psychology describes the impact of ego through the Dunning-Kruger effect. According to it, people with limited competence in a particular domain overestimate their abilities. Our ego often makes us feel invisible and right even about a wrong financial decision. Even when we know it is wrong, we continue to pursue it because of our ego.

Ego can cause long-lasting damage because it is fragile and can go to extraordinary lengths to protect itself from certain kinds of attack. We make bad financial decisions because ego interferes with our judgement. In order to avoid the possibility of being wrong, we become risk-averse and take financial decisions that are contradictory. For instance, our ego may make us start investing in small-cap stocks, when the markets are racing up, even though we do not understand its flip side. Don't be stubborn with financial decisions because as much as ego can be your friend, it could also be your enemy.



For instance, many a time, despite knowing you do not have money, you spend it because of the easy availability of loans. This has long-term impact on your finances as you may be servicing a loan with higher interest outgo even though you have money lying around in savings earning a low interest, which you could use to settle the loan.